of investment contracts—with the single goal of protecting and increasing state pension assets, invested for more than a million workers and retirees."[50]

But one cannot simply adopt a board without thinking through the complete governance structure of how the board is appointed, the membership of the board, the role of the board in relation to the government, the broader role of the pension fund assets in relation to the finances of state government as a whole, and the powers of the board and its relation with its agent (fund managers or CEO). A board by itself is no panacea.

Principal-agent theory helps us to recognize the conflicts between the principal and agent and to design a system so that the principal can work with the agent in the presence of these conflicts to enhance the principal's interests. When applied to the problem of delegated portfolio management, principal-agent theory suggests that the board of NYSCRF should own the two most important decisions: the *level* of risk to be taken and *where* the risks should be taken. There should be consistency of goals and a clear demarcation of responsibilities between the board and its fund manager. If the board of NYSCRF gives its fund manager an active mandate, then adequate support and resources should be made available so that the fund manager can achieve that goal. It is important for the board to avoid ad hoc modifications of long-term strategy, which often lead to pro-cyclical investment behavior.

Delegated portfolio agency theory says that the benchmark choice is extremely important. In fact, according to the Irrelevance Result, traditional static benchmarks are useless at motivating fund managers (with linear contracts) and in the worst cases cause managers to destroy value. Smarter benchmarks, like factor benchmarks, can ameliorate agency issues. Constraints, disclosure, transparency, and reputation play an important role in asset management contracts. Contracts need to be designed to engage the best portfolio managers (to enable the best portfolio managers to participate) but also give the best portfolio managers incentives to expend effort in creating value for the principal. This involves nonlinear incentive fees.

The overall message from agency theory is that the asset owner should not be surprised that the agent's primary concern is not for the principal. Greg Smith, a former executive director of Goldman Sachs, caused a ruckus by resigning and then publishing a scathing op-ed in the *New York Times* on March 14, 2012, criticizing Goldman's "toxic and destructive" culture which, he said, placed the client a distant second (well, maybe third or fourth):

> I don't know of any illegal behavior, but will people push the envelope and pitch lucrative and complicated products to clients even if they are not the simplest investments or the ones most directly aligned with the client's goals? Absolutely. Every day, in fact.

[50] Editorial, "From Pay-to-Play to Jail," *New York Times*, April 16, 2011.